Reposition an underperforming portfolio offering

Application Managed Services: strong technical delivery, but commercially stuck — flat net sales, declining gross margin, Sales cannot articulate value, inconsistent regional pricing.

NET SALES (2 YRS)	GROSS MARGIN (ILLUSTRATIVE)	DELIVERY SATISFACTION
Flat	**28% → 22–24%**	**Strong**
Weak conversion · little attach	–4 to –6 percentage points over 2 years	Execution is not the failure mode

EXECUTIVE FRAMING

Commercial / go-to-market problem — not a delivery turnaround. Sold as headcount; buyers purchase outcomes, cost predictability, and risk reduction. Restore net sales and gross margin together — discounts only when traded for scope, term, or attach. Leadership asks: evolve, reposition, or sunset.

STORYLINE · ONE STAGE PER SLIDE

1 Five-lens diagnosis → 2 Illustrative findings → 3 Decision → Reposition
4 Package & price · 5 Guardrails & invest · 6 Align & measure · 7 Ask

Five-lens diagnosis — what we would gather

STAGE 1 · FIVE-LENS DIAGNOSIS

A WIN / LOSS

Top 10 accounts. Tag price-only vs value unclear. Trigger: value unclear >30% → positioning broken.

B MARGIN

GM waterfall. Was discount traded for scope / term / attach? Bleed without trade → fix.

C COMPETITIVE

Staff aug vs outcome peers. Buyers ask for tiers → reposition.

D CUSTOMER VOICE

High satisfaction + low willingness to pay = story gap.

E PORTFOLIO FIT

18-month path to topline + margin? Pull-through? Sunset only if both fail.

Root causes — commercial, not delivery

STAGE 2 · ILLUSTRATIVE FINDINGS

1 WRONG SELLABLE UNIT

Sold as L1/L2/L3 staffing. Procurement benches rate-per-person. Hits topline: flat sales.

2 DISCOUNT WITHOUT TRADE

Regions discount with no floor and no scope trade. Should trade discount for scope/term/investment. Hits margin: 28%→22–24%.

3 VALUE STORY GAP

Buyers want outcomes; Sales pitches headcount. Hits both new revenue and price defence.

Decision → Reposition (grow sales + restore margin)

STAGE 3 · DECISION FRAMEWORK

SUNSET

Rejects footprint. Only if no 18-month path to sales + margin AND no pull-through. Not indicated.

EVOLVE ONLY

More tooling, same sellable unit. Fixes neither Sales narrative nor discount-without-trade.

REPOSITION ✓

Outcome-tiered Application Ops. Stabilize → Optimize → Transform. New value prop + Deal Desk rules.

What Sales sells — tiers, outcomes, clearer price

STAGE 4 · PACKAGE & PRICE

STABILIZE

Land — restore control

- Service-level baseline
- Platform + criticality
- Floor GM ≥ 22% · new logos

OPTIMIZE

Expand — prove efficiency

- Monitoring / automation
- Outcome-band pricing
- Floor GM ≥ 26% · attach

TRANSFORM

Deepen — operating uplift

- Continuous improvement
- Milestone (Finance OK)
- Floor GM ≥ 28% · renewals

VALUE PROP: Outcome-tiered Application Operations — restore control, improve TCO where contracted, global Sales story with Deal Desk discipline that grows revenue without giving margin away.

Deal Desk rules + what we fund (and stop)

STAGE 5 · GUARDRAILS & INVEST

COMMERCIAL GUARDRAILS

Floor GM
≥22% / 26% / 28% by tier

Discount = trade
≤12% only if traded for scope, term ≥24 mo, or attach

Sustain topline
Discount to keep/win revenue must raise contracted value

Transition
KT mandatory · min 8% Y1 value

Scope CR
Unpaid cap 2% ACV

Regional variance
±15% of global rate card

FUND FIRST · MAX ROI

- Q1 Rate card · Deal Desk playbook
- Q2 Catalogue · 2 pilots
- Q3–4 Packs · renewals
- Y2 Retire headcount-only

DEPRIORITIZE / STOP

× Custom tooling before global kit
× Below-floor PoCs
× Regional bespoke rates
× Rebrand without Sales kit

One program — Sales, Marketing, Finance, regions

STAGE 6 · ALIGN & MEASURE

SALES / DEAL DESK

≥80% bids on tier by Q2

MARKETING

One narrative by outcome tier

FINANCE

Rev-rec · margin floors · EBIT

REGIONS / ENABLE

Pilots + renewal step-ups

12-MONTH SCOREBOARD · QUARTERLY PRICING COUNCIL

Net sales Flat→+8–12% · GM recover 3–4 pts (e.g. →25–27%) · Tier adoption ≥80%

Price variance <15% · Value/TCO wins ≥40% · Renewal step-up ≥25% · ≥70% discounts have a documented trade

Feedback: monthly Deal Desk overrides → quarterly Pricing Council → annual sunset / reposition re-test

Reposition. Land with tiers. Expand when value is proven.

STAGE 7 · ASK

THE CALL

Reposition AMS as Outcome-Tiered Application Operations. Discount to sustain net sales only when traded for scope/term/attach. Fund Deal Desk in Q1; two regional pilots; Pricing Council.

THOUGHT PROCESS

1 Diagnose with five lenses
2 Synthesize commercial root causes
3 Decide with trade-offs → Reposition
4 Package / guardrail / enable / measure

ASK OF LEADERSHIP

- Approve reposition + global rate card
- Stand up Deal Desk trade rules
- Authorize two regional pilots
- Name Product owner + monthly steering